SIS Ltd: Concall Tracker

Security and Intelligence Services (India) Ltd · Manned security, facility management and cash logistics (India + Australia/NZ) · Screener: SIS · Quarter folder Q1-2027 · Builds on the Q4-2026 report (coverage to the 4 May 2026 call) · New call deep-read: Q1 FY27, 6 Aug 2026

1. Snapshot

What the business does: SIS is India's biggest security-services company. It supplies security guards, runs facility management (cleaning and upkeep of offices, hospitals, factories), has a cash-logistics joint venture that moves and processes bank cash, and owns a large security business in Australia and New Zealand. It earns money by renting out its people's time to businesses. After buying AP Securitas it's roughly twice the size of the next player in India.

Measure	Value	Plain-English read
Market value today	≈ ₹5,311 cr	What the stock market values the whole company at (Screener, Nov 2026), at about ₹382 a share.
FY26 group revenue	≈ ₹16,000 cr	Last year's sales across all businesses, up 21%. A record.
FY26 EBITDA	> ₹700 cr	Operating profit before interest, tax and depreciation, up about 19%.
Q1 FY27 revenue	₹4,604 cr (+29.7% YoY)	Sales for Apr-Jun 2026, up nearly a third on a year ago, partly from the AP Securitas purchase.
Q1 FY27 EBITDA	₹207 cr (+36% YoY), 4.5% margin	Up strongly on last year but flat on the March quarter. About ₹4.5 kept per ₹100 of sales.
Q1 FY27 net profit	₹101.7 cr (2.2% margin)	Only about ₹2 of every ₹100 of sales ends up as profit. Thin, as always in a wage-heavy business.
ROCE / ROE	16.7% / 15.8%	Returns on all capital and on shareholders' money, up from lows of 11.8% and 9.4% two years ago.

Screener's P&L tables show the standalone Indian parent only; this report uses the group figures management gives on the call.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY23 → Q3 FY26 (13 calls, incl. Labour Codes special call)	Feb 2023 → Jan 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	4 May 2026	Read for the Q4-2026 report
Q1 FY27	**6 Aug 2026**	**Newly deep-read in full ★**

Only the new Q1 FY27 call was read in full this quarter; the backstory comes from the prior report. No call after 30 Sep 2026 was used.

★ Latest concall highlights: Q1 FY27 (6 Aug 2026)

- **Strong start to FY27.** Revenue ₹4,604 cr (+29.7%), EBITDA ₹207 cr (+36%), profit ₹101.7 cr. India Security crossed ₹2,000 cr in a quarter for the first time (+37%), and International Security hit a record ₹1,982 cr (+31%, but only +7% in local currency, so a weaker rupee helped).
- **Margins steady, not rising.** India Security margin 5.1% (pulled down by the lower-margin AP Securitas, which made ₹12.2 cr on ₹332 cr of sales), facility management 5.5%, international 3.5% (Australia's March quarter is always its best). Management expects the blended India margin back toward 5.5-6% over the next 4-8 quarters as AP Securitas is integrated.
- **Labour Codes now real.** The rules were notified on 8 May 2026. Several states then pushed through big minimum-wage hikes (Haryana 40%+, UP about 23-24%, Karnataka 20%+). SIS's contracts pass wage rises straight to clients, so this lifts revenue and adds to EBITDA. Management expects the effect to show in Q2-Q3 and to add to profit over the next 3-4 quarters.
- **Fifth buyback.** ₹106 cr via the open market, up to ₹478.50 a share, promoters not taking part. Total returned to shareholders since IPO passes ₹700 cr.
- **Cash-business IPO on hold.** The prospectus is filed, but management is now "waiting for a more opportune time" because listed peers have de-rated. Tone otherwise confident; FY27 framed as the second "15 and 15" year (15% profit growth, 15%+ returns).

Business mix & capacity (quick facts)

Where sales come from (Q1 FY27): India Security about 44%, International (Australia/NZ) about 43%, facility management about 14%. Roughly half the business is in India and half overseas; cash logistics sits in a separate JV outside these sales.
Capacity: a people business has no factory utilisation figure. SIS runs more than 16,000 contracts in India, none above 1% of revenue. Growth comes from winning share in a market where, per management, only 30-40% of Indian customers use compliant providers today versus about 90% in Australia.

★ Since our last report

Builds on the Q4-2026 report (call of 4 May 2026). Prior verdicts: **trigger YES**, **consistency YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger (YES)	FY26 rebound real; AP Securitas adds scale; Labour Codes a big but unproven boost.	Growth held near 30%; EBITDA +36%; Labour Code rules notified and wage pass-through starting.	Confirmed
Consistency (YES)	Steady story, debt cut, honest about misses.	Same story, same targets, another buyback delivered.	Confirmed
AP Securitas margin lift	Lift its ~4% margin toward 5.5% in about 18 months.	About 3.7% this quarter; path guided over 4-8 quarters; 49% stake still to buy by 2028.	On-track, early
Labour Codes payoff	"Takes a year or more."	Rules notified 8 May; state wage hikes passing through; effect expected Q2-Q3.	Improving
Cash-business listing	"Hopefully within FY27."	No timeline now; waiting for a better market.	Slipping

Verdict change: both verdicts **unchanged**. The quarter backed up the trigger, and the only new slip is the one we already flagged (the cash IPO).

3. Earning Trigger thesis ★

The story is still "repair and re-rate": grow about 15% a year at 15%+ returns in a thin-margin, wage-heavy business, and gain share as rules tighten. Two drivers sit on top. AP Securitas gave instant scale, and the Labour Codes now make the client legally responsible for its contractor's compliance, which management calls a "tectonic shift" that should push work to compliant players like SIS. State wage hikes that were held back for years are now passing through to revenue.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Growth + returns ("15 and 15")	15% profit growth with 15% + returns.	Revenue +30%, EBITDA +36%; ROCE 16.7%, ROE 15.8%.	Now	Strong	unchanged
AP Securitas	Become ~2x nearest rival; lift its margin to SIS levels.	India Security +37%; APS margin still only ~3.7%.	4-8 quarters	Strong scale / margin unproven	unchanged
Labour Codes	Level playing field; wage hikes pass through and add to EBITDA.	Rules notified; big state wage hikes; impact due Q2-Q3.	2-4 quarters, then years	Moderate	↑ moved from law to rules
Cash-business listing	Unlock value via IPO.	Prospectus filed; IPO parked.	Unclear	Weak	↓ timeline dropped

The catch: net margin is about 2%, so small cost slips hurt. Margins were flat on the March quarter, international growth leaned on the rupee, and wage pass-through comes with a billing lag. Management also bought shares of Updater Services and called it "a treasury operation", without saying more.

4. Management Consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
FY23-FY24 India Security margin	Back toward ~6%.	Reached 6.1%, steady near 5.5% pre-APS; 5.1% now with APS.	Delivered
FY24-FY26 FM margin	Reach 5-6%.	Now a steady 5.5%; "6% when it happens".	Partly
Deleveraging	Cut debt.	Done in FY26 (from prior report).	Delivered
FY26 "15 and 15"	15% growth, 15%+ returns.	Delivered in FY26; Q1 FY27 on pace.	Delivered
Capital returns	Keep returning cash.	Fifth buyback approved; ₹700 cr+ returned since IPO.	Delivered
Cash-business listing	"FY25", then "hopefully FY27".	On hold, no new date.	Missed
Labour Codes upside	Margin and share gains.	Rules notified; pass-through starting.	Too early

Narrative drift: very little. The same goals (15 and 15, India margin 5.5-6%, compliant-player share gains) carry through quarter after quarter, and management is direct with numbers, including the weaker APS margin. The one running sore is the cash-business IPO, which has now slipped for about two years and has no date at all.

5. Bottom line: two verdicts

Durable earning trigger? → YES (vs last quarter: unchanged)

Nothing new weakened it, and the Labour Codes moved from a promise to notified rules this quarter. Growth held near 30%, EBITDA rose 36% and returns kept above 15%. The ceiling is low because this business keeps only about 2% of sales as profit, but the driver is live and showing in the numbers.

Management consistent? → YES (vs last quarter: unchanged)

The story and targets held, the buyback track record continued, and management was upfront about the weaker AP Securitas margin. The cash-business IPO slipping again is a real miss, but it's the same miss we flagged last time, not a new crack. Yes, with an eye on whether the APS margin lift and Labour Code gains arrive on the 4-8 quarter path they gave.

Concall-tracker report · SIS Ltd (SIS) · Sources: Q1 FY27 earnings-call transcript (6 Aug 2026, via Screener.in), the Q4-2026 concall-tracker report for earlier calls, Screener snapshot data. Not investment advice. Do your own due diligence.